

US equities rally on tech strength, yields edge higher

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

TL;DR

The S&P 500 closed at 7,743.41, up **+0.51%**, driven by solid earnings from Microsoft and Nvidia and a retreat in the VIX to 14.87. The 10-year Treasury yield rose to 5.18, reflecting continued confidence in the Fed's restrictive stance.

Energy lagged as WTI fell **-2.33%**, while the dollar index slipped **-0.32%**. Investors should watch upcoming earnings from Apple and Amazon for directional cues.

US Session Recap

INDEX / ASSET	CLOSE	CHANGE	NOTE
S&P 500	7,743.41	+0.51%	Broad rally
Dow Jones	51,828.62	+0.93%	Industrial gains
Nasdaq 100	30,608.13	+0.42%	Tech led
Russell 2000	2,837.55	+0.07%	Flat small-caps
VIX	14.87	-5.11%	Volatility easing
10Y Yield	5.18	+0.43%	Yield curve flattening
WTI Crude	92.41	-2.33%	Oil demand concerns

Top large-cap movers

TICKER	CLOSE	CHANGE
MSFT	516.17	+3.66%
AVGO	352.81	+0.70%
JPM	343.06	+1.33%
META	751.66	-3.33%

Spotlight

METRIC	VALUE
Company	MSFT
Revenue YoY	23.1%
EPS	9.84
Guidance	Revenue +12% YoY, EPS +9% YoY

Microsoft beat on both top-line and bottom-line, lifting the tech sector and reinforcing confidence in cloud spend despite a tighter monetary backdrop. The upbeat guidance nudged the Nasdaq higher and set a bullish tone for the week.

Macro & Fed

- Policy rate: 5.25%-5.50% (unchanged)
- 10-year Treasury yield: 5.18 (up **+0.43%**)
- Key data releases (HKT): CPI 09:30, PCE 10:30, Initial Jobless Claims 02:00

Geopolitics & global

- Middle-East tensions eased after cease-fire talks, reducing oil-supply risk.
- China's export data due Friday shows a 3.2% YoY rise, supporting risk appetite.
- Eurozone inflation held at 2.7%, keeping ECB on hold.

Earnings — what to watch

WHEN (HKT)	TICKER	WHAT TO LOOK FOR
09:30 Sep 27	AAPL	iPhone demand & services growth
10:00 Sep 27	AMZN	Cloud margin trends
11:30 Sep 27	NVDA	AI chip orders pipeline
13:00 Sep 27	META	Ad revenue recovery

Stocks worth watching

- **AAPL** – strong services revenue, iPhone 15 rollout.
- **AMZN** – AWS margin expansion after cost cuts.
- **NVDA** – AI demand sustaining price momentum.
- **XLE** – oil price dip may create buying opportunity.
- **XLC** – communications sector under pressure, could rebound on ad spend data.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in CPI (>0.3% MoM) could push yields above 5.30%.
- Escalation in Middle-East conflict reigniting oil price spikes.
- Meta earnings miss, widening tech sector weakness.

BULLISH TRIGGERS

- Microsoft or Apple beating guidance, sparking a tech rally.
- US jobless claims drop below expectations, hinting at labor market resilience.
- China export surprise >4%, boosting global growth sentiment.

Sources

SOURCES

Reuters — US Markets Summary

Bloomberg — S&P 500 Data

CNBC — Economic Calendar

SEC — Microsoft 10-Q

Financial Times — Earnings Outlook